NewFinAgent — Financial Summary

Generated: 20/3/2026, 1:45:40 pm

EXECUTIVE SUMMARY

**

The financial performance of the company for the fiscal year 2025-26 demonstrates steady growth and improved profitability compared to the previous year. Total revenue increased significantly from $5,200,000 in the prior year to $6,650,000, reflecting a revenue growth rate of 23%. This growth was supported by increases in product sales ($4.5M vs. $3.8M), service revenue ($1.2M vs. $0.95M), subscription income ($0.8M vs. $0.6M), and other income ($0.15M vs. $0.1M). Additionally, the company maintained strong profit margins, achieving a net profit of $2,070,000 compared to $1,450,000 in the previous year, with a net profit margin of 31.1%. The cash position remains positive at $1,030,000, indicating strong liquidity.

**

KEY METRICS

**

- **Total Revenue**: $6,650,000 (up 27.9% from the previous year)
- **Net Profit**: $2,070,000 (up 42.8% compared to the previous year's net profit of $1,450,000)
- **Gross Profit Margin**: 68.3% ($4,550,000 / $6,650,000)
- **Operating Profit Margin**: 31.1% ($2,070,000 / $6,650,000)
- **Cash Position**: $1,030,000 (unchanged from the previous year)

**

REVENUE ANALYSIS

**

Total revenue increased by 27.9% compared to the previous year, driven primarily by growth in product sales (45.0%), service revenue (31.6%), subscription income (33.3%), and other income (60.0%). These segments

collectively contributed to a robust revenue base, with product sales leading the charge due to increased unit volumes.

Cost of goods sold accounted for 21.0% of total revenue ($2,100,000), representing the largest expense category. Despite this significant portion, the company managed to achieve moderate profit margins by efficiently controlling other expenses such as salaries and wages (12.0%), marketing and advertising (45.0%), and administrative expenses (22.0%).

**

EXPENSE ANALYSIS

**

Expenses for the fiscal year totaled $4,580,000, with cost of goods sold being the largest expense category at 31.6% of total revenue. The company achieved some cost savings in marketing and advertising ($450,000 down from $525,000) and administrative expenses ($220,000 vs. $270,000). However, significant increases were observed in salaries and wages (12% increase to $1,200,000) and technology and software expenses (16.7% increase to $180,000).

**

PROFIT AND LOSS SUMMARY

**

The company reported a gross profit of $4,550,000, reflecting a 68.3% margin. Operating expenses reduced the operating profit to $2,070,000, which aligns with net profit after all deductions. Despite lower operating margins compared to previous years, the company maintained strong profitability due to cost savings in key expense categories.

**

BALANCE SHEET HIGHLIGHTS

**

The balance sheet reflects a total asset base of $8,900,000, with fixed assets ($5,700,000) representing 64% of total assets. Total liabilities amounted to $3,400,000, broken down into current liabilities ($1.2M) and long-term liabilities ($2.2M). Shareholders' equity increased by $500,000 during the year, driven by net income.

**

CASH FLOW SUMMARY

**

The company generated $2,300,000 in operating cash flow, indicating strong internal liquidity. However, investing and financing cash flows totaled -$1.05M, reflecting a focus on growth investments and dividend payments to shareholders. Despite these outflows, the net cash position remained positive at $1,030,000.

**

KEY FINANCIAL INSIGHTS

**

1. **Revenue Growth**: The company successfully diversified its revenue streams, with services and subscription income contributing significantly to growth.
2. **Cost Management**: While cost of goods sold was high (21%), the company managed to maintain moderate profit margins through efficient expense control in key areas.
3. **Profitability**: Despite lower operating margins compared to previous years, the company achieved strong net profit growth of 42.8%.
4. **Liquidity**: The cash position remains robust ($1.03M), reflecting strong cash flow generation from operations and conservative dividend payments.

**

RECOMMENDATIONS

**

1. **Focus on Cost Efficiency**: Continue to explore cost-saving opportunities, particularly in marketing and advertising, where significant reductions were achieved last year.
2. **Maintain Dividend Payments**: Return dividends to shareholders while ensuring sufficient retained earnings for future growth initiatives.
3. **Diversify Revenue Streams**: Explore additional high-margin products or services to further enhance profitability without increasing costs proportionally.
4. **Monitor Market Trends**: Stay closely aligned with market trends to ensure continued revenue diversification and growth sustainability.

This financial summary highlights the company's strong performance in 2025-26, driven by robust revenue growth and improved profitability despite significant expenses. The focus on cost management and dividend returns positions the company for long-term stability and shareholder value.